

**IN THE HIGH COURT OF TANZANIA
(COMMERCIAL DIVISION)
AT DAR ES SALAAM**

COMMERCIAL CASE NO. 68 OF 2007

**ANNA BABU t/a E & L CATERING SERVICE.....PLAINTIFF
VERSUS
AKIBA COMMERCIAL BANK.....DEFENDANT
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R U L I N G

1. Date of Last Submission – 27/12/2007
2. Date of Ruling – 28/12/2007

MASSATI, J

The Plaintiff, who is represented by MPOKI & ASSOCIATES, ADVOCATES, has filed a suit in this Court, the substance of which, according to paragraph 3 of the plaint, is: -

"That the Plaintiff's claim against the Defendant is for the sum of Tshs.92,110,000/= being the Plaintiff's money unlawfully withdrawn from her account and damages for inconveniences caused and loss of business."

The Defendant bank has instructed MS MLD LAW CHAMBERS, ADVOCATES, to draw up its Written Statement of Defence. In the preface to the statement of defence the Defendant states: -

"...the Defendant shall raise a preliminary objection on point of law that this Honourable Court has no jurisdiction to entertain and/or adjudicate this matter."

By consent, it was ordered that the preliminary objection be argued by way of written submissions.

In support of the preliminary objection, Mr. Morris, learned Counsel, forcefully submitted that it appears from the plaint that special damages claimed amount to shs.2,110,000/= only and that the shs.90,000,000/= was by way of general damages. Based on the authorities of **TANZANIA – CHINA FRIENDSHIP TEXTILE CO. LTD VS. OUR LADY OF THE USAMBARA SISTERS** Civil Appeal No. 84/2002 (Unreported) by the Court of Appeal and **GEORGE DAVID GORDON VS. RELIANCE INSURANCE COMPANY (T) LIMITED** (Commercial Case No. 102 of 2005 (Unreported) the learned Counsel, submitted that the substantive claim is shs.2,110,000/= whereas, shs.90,000,000/= is claimed as general damages, which amount cannot give this Court pecuniary jurisdiction. It was therefore his view that since the Plaintiff's substantive claim is only 2,110,000/= this Court had no jurisdiction and therefore the plaint should be rejected with costs.

On the other hand, Mr. Mpoki, learned Counsel for the Plaintiff made the following arguments in response: -

- (i) The Magistrates Courts Act, as amended by Act 4/2004 calls for a fresh interpretation, because **TANZANIA – CHINA FRIENDSHIP TEXTILE CO. LTD's** Case did not interpret the phrases: -

"where the subject matter is capable of being estimated at a money value", and "the value of the subject matter."

- (ii) The decision in **TANZANIA – CHINA FRIENDSHIP TEXTILE CO. LTD** is based on common law that it is wrong to quantify general damages; which is at variance with the provisions of section 40 (3) (b) of the Magistrates Courts Act, and on the authority of **NATIONAL BANK OF COMMERCE VS JACKSON NAIMAWA SINZO BAKWILA**, [1978] LRT n. 39, where case law and statute law are at variance, the latter takes precedent over the former.
- (iii) The statement that quantification of general damages does not affect jurisdiction of the Court is no longer good law in view of s. 40 (3) (b) of the Magistrates

Courts Act as amended and O. VII r. (1) (i) of the Civil Procedure Code, 1966.

- (iv) It is not enough that a Court is the lowest in the hierarchy, but it must be competent to try the suit according to the prevailing laws. On that score the primary court cannot entertain the present suit, although it is the lowest Court.
- (v) Under s. 2 of the Judicature and Application of Laws Act (Cap 358) the High Court has unlimited jurisdiction in civil and criminal matters. Therefore, however small the value of the claim, the High Court has jurisdiction.
- (vi) In terms of s. 40 (3) (b) of the Magistrates Courts Act the Plaintiff's "*subject matter*" was her grievances against the Defendant's acts, and the estimated value of the injuries and the grievances, is shs.92,110,000/= and that clothes this Court with jurisdiction.
- (vii) The substantive claims of shs.2,110,000/= referred to by the Defendant does not feature in paragraphs 3 or 9 of the plaint; but just based on the defence Counsel's imagination.

Mr. Mpoki, referred to **K.J. AIYAR'S JUDICIAL LAW DICTIONARY** 13th ed. **THE LAW LEXICON**, 2nd ed, and **BLACK'S LAW DICTIONARY**, 8th ed. for definition of the term; **"subject matter"**. He also distinguished the cases of **TANZANIA CHINA FRIENDSHIP TEXTILES CO. LTD** and **GEORGE DAVID GORDON**.

At the end of the day, Mr. Mpoki urged the Court to find that the Court has jurisdiction and to dismiss the preliminary objection.

Mr. Morris did not file a rejoinder.

Mr. Mpoki, learned Counsel has raised very interesting arguments on the question of jurisdiction of the High Court, contrary to the position held by the Court of Appeal of Tanzania, in **TANZANIA – CHINA FRIENDSHIP TEXTILE CO. LTD'** case, which clearly states that: -

- (i) The jurisdiction of the High Court is also subject to some other laws.

To me, this means that the jurisdiction of the High Court is not unlimited.

- (ii) It is the **substantive claim** and not the general damages which determines the pecuniary jurisdiction of the Court.

Although, Mr. Mpoki, has forcefully argued that this interpretation by the Court of Appeal, derives from common law, he did not cite to me any authority to that effect, and I do not see how the decision is at variance with the provisions of the Magistrates Courts Act (s. 40 (3) (b)). Besides, I do not think I am able and competent to review the decision of the Court of Appeal, as the learned Counsel seems to be urging me to do. The learned Counsel would wish to raise those arguments before the Court of Appeal when the right time comes.

Having made those observations, I now proceed to restate that it is the Plaintiff's valuation that controls and determines the Court's jurisdiction. So, it is the Plaintiff's plaint which sets the ball in motion; and not how the Defendant interprets it.

In the present case, the Defendant has submitted that the Plaintiff allegedly claimed (in paragraphs 3 and 9 of the plaint) against the Defendant for payment of shs.2,110,000/= *as "special damages"* and Tshs.90,000,000/= *as "general damages"*. With respect, I do not see any such categorization in the paragraphs

pointed out by the Defendant. All that the Plaintiff claims in paragraph 3 is: -

"for the sum of Tshs.92,110,000/= being the Plaintiff's money unlawfully withdrawn from her account and damages for inconvenience caused and loss of business."

The paragraph does not specify which of the amount is "special" and which "general damages".

And in paragraph 9; that: -

"That the statement revealed several unauthorized cash withdrawal from the Plaintiff's account,making the total of shs.2,000,000/=. "

I do not see how, the averments in paragraphs 3 and 9, would add up to shs.92,110,000/= and where the claims have been specified. Nowhere is it stated that this is all that the Plaintiff claims. It may be that the Plaintiff's claim lacks particulars, but that is different and is curable under rr. 4 or 5 of O. VI of the Civil Procedure Code 1966.

On account of the above, I agree with Mr. Mpoki, that unlike in the cases of **TANZANIA – CHINA FRIENDSHIP TEXTILE CO. LTD** and **GEORGE DAVID GORDON** where liquidated damages

have been pleaded separate from general damages, there is no such distinction drawn in the present suit. The Court has to take it that the Plaintiff's claim is for shs.92,110,000/= and therefore more than shs.30/= million threshold of the High Court's pecuniary jurisdiction. Whether she can prove them is a different matter. In a preliminary objection the Court cannot go into and inquire what those claims are made up of. And as I said above, if the Court or the Defendant needs any further particulars, it may do so by ordering further and better particulars.

Therefore, I find no substance in the preliminary objection and shall proceed to dismiss it with costs.

Order accordingly.

S.A. MASSATI

JUDGE

28/12/2007

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